Accounting Environment

In accounting, disclosure refers to the act of revealing all material and relevant financial information to stakeholders through financial statements and their accompanying notes. This is a core principle, often referred to as the full disclosure principle, which ensures transparency, accountability, and enables investors and creditors to make informed decisions.

Companies are only required to disclose information considered "material," meaning its omission or misstatement could influence the economic decisions of users of the financial statements.

Supranational Standard Setters & Standards

IASB

The International Accounting Standards Board (IASB) is an independent, private-sector body that develops and approves International Financial Reporting Standards (IFRS). It is the standard-setting body of the IFRS Foundation and is overseen by a group of Trustees. It consists of an international group of experts (14 members) with diverse geographical and professional backgrounds. It researches, develops, and publishes IFRS standards, which are now required in over 140 jurisdictions.

While both the IASB and the Bank for International Settlements (BIS) influence global finance, they operate with different structures, goals, and levels of authority. Unlike the BIS, which is a forum for government authorities, the IASB is a private standard-setter. The IASB cannot force any country or company to use its standards. It lacks enforcement power; if a company violates IFRS, it is the national regulator (like the SEC in the U.S. or the FCA in the UK) that takes action, not the IASB.

FASB

The Financial Accounting Standards Board (FASB) is an independent, private-sector, non-profit organization responsible for establishing and improving Generally Accepted Accounting Principles (GAAP) in the United States. While not a government agency, its standards are recognized as authoritative by the Securities and Exchange Commission (SEC) for all publicly traded U.S. companies.

National Regulators

Enforcement of IFRS in South Africa and the UK is handled by specific national regulatory bodies, not the stock exchanges or prudential authorities directly, though these bodies play a key oversight role.

In South Africa, the primary entity responsible for enforcing financial reporting standards (including IFRS for listed companies) is the Financial Sector Conduct Authority (FSCA), while the Johannesburg Stock Exchange (JSE) acts as the frontline regulator. The JSE's Issuer Regulation Division investigates cases of non-compliance and can impose censures or fines. The FSCA is the market conduct regulator that oversees the JSE's regulatory function and can investigate market abuse and enforce the financial markets act.

In the UK, the enforcement of IFRS for listed companies falls under the purview of government bodies. The Financial Reporting Council (FRC) is the UK's independent regulator of corporate governance, financial reporting, and audit. It has the delegated power under the Companies Act to monitor the accounts of UK-registered companies with securities admitted to trading on a UK-regulated market. The FRC's Enforcement

Division conducts investigations into potential breaches of accounting and auditing standards.The Financial Conduct Authority (FCA) maintains the list of UK regulated markets and has powers through its Disclosure Guidance and Transparency Rules to ensure companies on these markets comply with the relevant accounting standards.

Purpose of Disclosures

At their core, AFS disclosures exist to reduce information asymmetry between the reporting entity (management) and users (investors, lenders, regulators, analysts). More specifically, disclosures aim to:

- Explain the numbers
- Provide transparency
- Enable comparability
- Support accountability

This also meets the 4 aims of regulation.